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Regulation on Information Obligations for Insurance Contracts (VVG-Informati- onspflichtenverordnung – VVG-InfoV)

This Regulation implements the Council Directive 92/49/EEC of 18 June 1992 on the coordination of laws, regulations and administrative provisions relating to direct insurance other than life assurance and amending Directive 73/239/EEC (OJ L 228 p. 1), Directive 2002/65/EC of the European Parliament and of the Council of 23 September 2002 concerning the distance marketing of consumer financial services and amending Council Directive 90/619/EEC and Directives 97/7/EC and 98/27/EC (OJ L 271 p. 16) and Directive 2002/83/EC of the European Parliament and of the Council of 5 November 2002 concerning life assurance (OJ L 345 p. 1).

On the basis of section 7 (2) and (3) of the Insurance Contract Act (Versicherungsvertragsgesetz - VVG) of 23 November 2007 (Federal Law Gazette I p. 2631), the Federal Ministry of Justice, in agreement with the Federal Ministry of Finance and in consultation with the Federal Ministry of Food, Agriculture and Consumer Protection, hereby issues the following Regulation:

Section 1 - Information obligations for all insurance classes

(1) Pursuant to section 7 (1) sentence 1 of the VVG, the insurer shall provide policyholders with the following information:

1. the identity of the insurer and any branch office through which the contract is to be concluded; the commercial register in which the legal entity is registered together with its registration number shall also be provided;
2. the identity of the insurer's representative in the Member State of the European Union in which the policyholder is resident if such a representative exists, or the identity of any party other than the supplier if this party acts as a counterparty to the policyholder, and the capacity in which such party does business with the policyholder;
3. the insurer's contact address and any other address that is relevant to the commercial relationship between the insurer, its representative, or another party pursuant to no. 2 above and the policyholder, including the name of an authorised representative in the case of legal entities, bodies of persons or groups of persons;
4. the insurer's principal business activity;
5. information on the existence of a guarantee fund or other compensation schemes that do not fall within the scope of Directive 94/19/EC of the European Parliament and of the Council of 30 May 1994 on deposit-guarantee schemes (OJ L 135 p. 5) and Directive 97/9/EC of the European Parliament and of the Council of 3 March 1997 on investor compensation schemes (OJ L 84 p. 22); the name and address of the guarantee fund are to be provided;
6. a) the general policy conditions, including the premium rate conditions, applicable to the relationship between insurer and policyholder;
b) the main features of the insurance benefits, in particular details on the nature, scope and due dates of benefits payable by the insurer;
7. the total cost of the insurance, including all taxes and other cost components; premiums shall be stated individually if the insurance relationship comprises several independent insurance contracts, or, if the exact cost cannot be provided, information on its basis of calculation to enable the policyholder to verify the cost;
8. any additional costs, if applicable, stating the total amount payable and any possible additional taxes, fees and costs not levied via or charged by the insurer; as well as any costs incurred by the policyholder for the use of communication methods if such additional costs are chargeable;
9. details on the payment and compliance, in particular the method by which premiums are to be paid;

10. the period of validity of the information provided, for example the duration of time-limited offers, particularly with respect to the cost of the insurance;
11. where appropriate, a warning that the financial service being provided involves financial instruments that are associated with heightened risks due to their particular features or the processes involved, or whose price is subject to fluctuations on the financial markets that are beyond the insurer's control, and that past performance is not an indication of future performance; the circumstances and risks to be outlined in each case;
12. information on how the contract is established, in particular as regards inception of the policy and commencement of cover and the period during which the applicant is bound by the application;
13. whether or not the policyholder has a right of cancellation and the conditions and details concerning the exercise of such right, particularly the name and address of the parties who must be informed of the cancellation and the legal consequences of cancellation, including information on amounts, if any, payable by the policyholder in the event of cancellation;
14. information on the duration of the contract and any minimum contract period;
15. details on the termination of the contract, particularly concerning the contractual conditions for termination including any contractual penalties;
16. the EU Member States on whose law the insurer bases the establishment of relations with the applicant prior to conclusion of the insurance contract;
17. the law applicable to the contract, a clause in the contract regarding the applicable law or the court with jurisdiction;
18. the languages in which the contract terms and the preliminary information referred to in these provisions are provided and the languages in which the insurer undertakes to conduct communication during the lifetime of this contract, subject to the policyholder's consent;
19. any access the policyholder may have to extrajudicial appeal proceedings and legal remedies and, where appropriate, the conditions of such access, indicating expressly that the policyholder's option to instigate legal proceedings shall not be thereby affected;
20. the name and address of the competent supervisory authority and the option to make a complaint to such authority.

(2) Where disclosure is made via communication of the contract terms, including the general policy conditions, the information under subsection (1) no. 3, no. 13 and no. 15 must be clearly and distinctively highlighted.

Section 2 - Information obligations for life insurance, occupational disability insurance and accident insurance with premium refund

(1) Pursuant to section 7 (1) sentence 1 of the VVG, the insurer shall provide the policyholder with the following information in addition to the information referred to in section 1 (1) above in the case of life insurance:

1. details on costs included in the premium, showing the acquisition costs as a single amount and the other costs as a proportion of the annual premium, stating the period for which they apply in each case;
2. details of other potential costs, particularly non-recurring or exceptional costs;
3. details on the calculation principles and criteria applicable to the determination of surplus and to surplus participation (bonuses);
4. details on the surrender values;
5. details on the minimum sum insured for transformation into paid-up insurance or insurance with discounted premiums and on the benefits payable under such an insurance;
6. the extent to which the benefits under nos. 4 and 5 are guaranteed;
7. in the case of unit-linked insurance, details on the underlying fund and the type of assets it holds;
8. general information on the tax regulations applicable to this class of insurance.

(2) The information under subsection (1) nos. 1, 2, 4 and 5 shall be expressed in euro. The foregoing sentence shall apply to subsection (1) no. 6 subject to the proviso that the guaranteed amount is stated in euro.

(3) Pursuant to section 154 (1) of the VVG, the model calculation to be provided by the insurer shall be based on the following interest rates:

1. the maximum technical interest rate, multiplied by 1.67,
2. the interest rate under no. 1 plus one percentage point, and

3. the interest rate under no. 1 less one percentage point.

(4) Subsections (1) and (2) shall apply mutatis mutandis to occupational disability insurance. In addition, policyholders shall be informed of the fact that the definition of occupational disability in insurance terms is not the same as the definition of incapacity or reduced earning capacity for social security purposes or the term as defined in the policy conditions of daily benefits insurance.

(5) Subsection (1) nos. 3 to 8 and subsection (2) shall apply mutatis mutandis to accident insurance with premium refund.

Section 3 - Information obligations for health insurance

(1) Pursuant to section 7 (1) sentence 1 of the VVG, the insurer shall provide the policyholder with the following information in addition to the information referred to in section 1 (1) in the case of substitutive health insurance (section 12 (1) of the German Insurance Supervision Act (Versicherungsaufsichtsgesetz – VAG)):

1. details of the costs included in the premium, showing the acquisition costs as a single amount and the other costs as a proportion of the annual premium, stating the period for which they apply in each case;
2. details of other potential costs, particularly non-recurring or exceptional costs;
3. information on the impact of rising medical expenses on future premiums;
4. information on the options available for limiting premiums in old age, particularly as regards a switch to the standard or basic rate or to other rates pursuant to section 204 of the VVG and on options for agreeing exclusions, as well as on the possibility of a premium reduction pursuant to section 12 (1c) VAG;
5. an indication that a switch from private to statutory health insurance is usually precluded at an advanced age;
6. an indication that a switch within a private health insurance scheme in old age may be associated with higher premiums and that switches may be restricted to a changeover to the standard or basic rate;

7. a summary of the premium history in the 10 years prior to the offer, stating the monthly premium that would have been payable in each of the 10 years prior to the offer if the insurance contract had been concluded at the time by a person of the same sex as the applicant and aged 35 at inception; if the premium rate on offer has not existed for 10 years, the comparison shall be made from the date of introduction of the rate, with a note to the effect that the relevance of the comparison is limited due to the shorter period since the introduction of the rate; in addition, the premium history of a comparable premium rate that has existed for 10 years shall be presented.

(2) The information under subsection (1) nos. 1, 2 and 7 shall be expressed in euro.

Section 4 - Product information sheet

(1) If the policyholder is a consumer, the insurer shall provide him with a product information sheet containing information that is of particular significance to the conclusion or performance of the insurance contract.

(2) Information within the meaning of subsection (1) shall include:

1. details on the type of insurance contract on offer;
2. a description of the risk insured by the contract and of the excluded risks;
3. details on the level of the premium in euro, the due date and the period for which the premium is payable, as well as the consequences of late or non-payment;
4. an indication of the benefit exclusions stipulated in the contract;
5. information on the obligations to be complied with when the contract is concluded and the legal consequences of non-compliance;
6. information on the obligations to be complied with during the lifetime of the contract and the legal consequences of non-compliance;
7. an indication of the obligations to be complied with if an insured event occurs and the legal consequences of non-compliance;
8. when the insurance cover begins and ends;
9. an indication of the options available for termination of the contract.

(3) In the case of with-profits policies, subsection (2) no. 2 shall apply with the proviso that reference is also made to the model calculation to be provided by

the insurer pursuant to section 154 (1) of the VVG.

(4) In the case of life insurance, occupational disability insurance and health insurance, subsection (2) no. 3 shall apply with the proviso that the acquisition and distribution costs (section 2 (1) no. 1, section 3 (1) no.1) and other costs (section 2 (1) no. 2, section 3 (1) no. 2) are in each case stated separately in euro.

(5) The product information sheet shall be clearly identified as such and placed in front of the other information. The information to be provided under subsections (1) and (2) must be presented concisely in a clear and comprehensible format; it shall be pointed out to the policyholder that the information is not exhaustive. The order of the information set out in subsection (2) shall be adhered to. Insofar as the information concerns the content of the contract, reference shall be made to the relevant provision of the contract or to the general policy conditions underlying the contract.

Section 5 - Information obligations during telephone conversations

(1) If the insurer contacts the policyholder by telephone, it must expressly disclose its identity and the purpose of the telephone call at the very beginning of each conversation.

(2) During telephone calls, the insurer is only obliged to disclose the information under section 1 (1) nos. 1 to 3, no. 6b, nos. 7 to 10 and nos. 12 to 14 to the policyholder. The foregoing sentence shall apply only if the insurer has informed the policyholder that further information is available on request and of the nature of such information, and the policyholder expressly forgoes the communication of further information at that time.

(3) The information obligations set out in sections 1 to 4 shall remain unaffected.

Section 6 - Information obligations during the lifetime of the contract

(1) The insurer shall provide the policyholder with the following information during the lifetime of the insurance contract:

1. any change in the insurer's identity or contact address and in that of any branch office through which the contract was concluded;

2. changes in the information under section 1 (1) no. 6b, nos. 7 to 9 and no. 14, and under section 2 (1) nos. 3 to 7 arising from amendments to legislation;
3. where surplus participation is provided for under the contract, annual information on the surplus status, in addition to information on the extent to which such surplus participation is guaranteed; however, this shall not apply to health insurance.

(2) In the case of substitutive health insurance pursuant to section 12 (1) VAG, the insurer shall, whenever premiums are increased, notify policyholders of their option to switch rates in accordance with section 204 of the VVG, providing a copy of the text of the relevant statutory provision. In the case of insured persons who have reached the age of 60, the policyholder shall be made aware of premium rates that offer insurance cover similar to the existing rate and where a tariff switch would result in a reduction in premium. The information must include rates that represent suitable switches in the light of an informed assessment of the policyholder's interests. The premium rates referred to in sentence 2 of this subsection shall in any case include those rates, with the exception of the basic rate, that saw the highest uptake in the previous financial year in terms of the number of new insured persons. No more than 10 rates may be listed. In each case an indication must be given of the premiums that would be payable for the insured persons if a switch were made into that rate. In addition, the policyholder shall be informed of the option of switching to the standard or basic rate. The conditions for switching to the standard or basic rate, the premium payable in that case and the possibility of a premium reduction under the basic rate pursuant to section 12 (1c) VAG shall be set out. Upon request, the policyholder shall be provided with the transfer value pursuant to section 12 (1) no. 5 VAG; from 1 January 2013 onwards the transfer value shall be notified annually.

Section 7 - Transitional provisions; Effective date

(1) Until 30 June 2008 the insurer may fulfil the information obligations set out in this Regulation by providing information pursuant to the provisions of the law applicable until 31 December 2007.

(2) Section 2 (1) nos. 1 and 2 and (2), section 3 (1) nos. 1 and 2 and (2) and section 4 take effect on 1 July 2008. The rest of this Regulation takes effect on 1 January 2008.